Note 10 Deferred Tax Assets and Income Tax Provision

ENDEAVOR IP

Deferred Tax Assets

At October 31, 2014, ENDEAVOR IP had net operating loss ("NOL") carry–forwards for Federal and state income tax purposes of approximately $1,994,000 that may be offset against future taxable income through 2034. No tax benefit has been reported with respect to these net operating loss carry-forwards in the accompanying consolidated financial statements because ENDEAVOR IP believes that the realization of ENDEAVOR IP's net deferred tax assets of approximately $678,000 were not considered more likely than not and accordingly, the potential tax benefits of the net loss carry-forwards are fully offset by a valuation allowance.

Deferred tax assets consist primarily of the tax effect of NOL carry-forwards. ENDEAVOR IP has provided a full valuation allowance on the deferred tax assets because of the uncertainty regarding its realizability. The valuation allowance increased approximately $302,000 and $307,700 for the fiscal year ended October 31, 2014 and 2013, respectively.

Components of deferred tax assets in the consolidated balance sheets are as follows:

	October 31, 2014	October 31, 2013
Net deferred tax assets:		
Stock Compensation	$ 201,000	$ 11,000
Other differences in tax basis	$ 124,000	$ 11,000
Expected Income tax benefit from NOL carry-forwards	$ 353,000	$ 354,000
Less valuation allowance	(678,000)	(376,000)
Deferred tax assets, net of valuation allowance	$ -	$ -

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Income Tax Provision in the Statements of Operations

A reconciliation of the federal statutory income tax rate and the effective income tax rate as a percentage of income before income tax provision is as follows:

	For the fiscal year ended October 31, 2014	**For the fiscal year ended October 31, 2013**
Federal statutory income tax rate	34.0%	34.0%
Change in valuation allowance	(34.0)	(34.0)
Effective income tax rate	0.0%	0.0%

Corporation Income Tax Returns Remaining subject to IRS Audits

ENDEAVOR IP's corporation income tax returns for the fiscal year ended October 31, 2010 and 2011 were filed on December 12, 2011 and December 15, 2011, respectively. ENDEAVOR IP has not yet filed its corporation income tax return for the fiscal years ended October 31, 2013 and 2012. Both the 2009 and 2010 corporation income tax returns will remain subject to audit under the statute of limitations by the Internal Revenue Service for a period of three (3) years from the date they were filed. The 2011 corporate income tax return will remain subject to audit until three (3) years after the date of filing.

ENDEAVOUR UK

United Kingdom Income Tax

Endeavour Principle Capital Limited is registered and operates in the United Kingdom and is subject to UK tax law. Endeavour's statutory income tax rate is 20% and there were no significant differences between income reported for financial reporting purposes and income reported for income tax purposes for the year ended October 31, 2014 and 2013.

Deferred Tax Assets

At October 31, 2014, Endeavour had net operating loss ("NOL") carry–forwards for UK income tax purposes of $334,000 that may be offset against future taxable income. No tax benefit has been reported with respect to these net operating loss carry-forwards in the accompanying consolidated financial statements because ENDEAVOR IP believes that the realization of ENDEAVOR UK's net deferred tax assets of approximately $46,000 was not considered more likely than not and accordingly, the potential tax benefits of the net loss carry-forwards are fully offset by a valuation allowance.

Deferred tax assets consist primarily of the tax effect of NOL carry-forwards. ENDEAVOR IP has provided a full valuation allowance on the deferred tax assets because of the uncertainty regarding its realizability.

Components of deferred tax assets in the consolidated balance sheets are as follows:

	October 31, 2014	October 31, 2013
Net deferred tax assets:		
Expected income tax benefit from NOL carry-forwards	$ 46,000	$ 46,000
Less valuation allowance	(46,000)	(46,000)
Deferred tax assets, net of valuation allowance	$ -	$ -

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Income Tax Provision in the Statements of Operations

A reconciliation of the federal statutory income tax rate and the effective income tax rate as a percentage of income before income tax provision is as follows:

	For the fiscal year ended October 31, 2014
Federal statutory income tax rate	20.0%
Change in valuation allowance	(20.0)
Effective income tax rate	0.0%

Corporation Income Tax Returns Remaining subject to Audits

Endeavour has not yet filed its corporation income tax return for the period ended October 31, 2013 and 2012. The statute of limitations for the return will begin when the return is filed.